INVESTMENT COMMITTEE MEMORANDUM (EXECUTIVE SUMMARY)

TO: Investment Committee / Senior Partners

FROM: Real Estate Private Equity Acquisition Team

DATE: October 2026

SUBJECT: Acquisition Underwriting & Capitalization — Heathrow Logistics Hub (150,000 sq. ft.)

1. Executive Summary & Investment Recommendation

We recommend the acquisition of **Heathrow Logistics Hub**, a core-plus **150,000 sq. ft. Grade A logistics asset** situated in the premier Heathrow submarket, for a purchase price of **£25.00M** (£166.67/sq. ft.), representing a gross capitalized basis of **£26.13M** inclusive of 4.50% Stamp Duty Land Tax (SDLT) and legal costs.

The underwritten business plan delivers compelling risk-adjusted returns over a 5-year hold period:

- **Levered IRR: 25.34%** (Target Hurdle: 18.00%+)
- **Levered Equity Multiple (MOIC): 2.83x**
- **Unlevered IRR (Asset-Level): 14.45%** (1.85x Multiple)
- **Underwritten Exit Cap Rate: 5.00%** (generating £39.49M Net Disposition proceeds)
- **Equity Required: £9.88M** (sponsored by institutional equity)

2. Capital Structure & Debt Financing Terms

The transaction is capitalized via a senior secured facility providing conservative leverage while optimizing equity yield:

- **Senior Debt Facility: £16.25M** (65.00% LTV against purchase price)
- **Borrowing Rate: 5.25% fixed per annum**
- **Loan Structure:** 2-year Interest-Only (IO) facility converting to a 25-year amortization profile in Years 3–5
- **Annual Debt Service:**
    - Years 1–2 (IO Period): **£853,125/year**
    - Years 3–5 (Amortizing): **£1,182,036/year** (£817k–£853k Interest + £329k–£364k Principal paydown)
- **Lender Protection & DSCR:**
    - Year 1 DSCR: **1.98x**
    - Year 3 (Amortization step-up): **1.53x**
    - **Covenant Buffer:** Strong head-room across all 5 years against the **1.35x minimum DSCR covenant** (100% PASS compliance).

- **Loan De-risking:** Cumulative principal amortization pays down loan balance from £16.25M to **£15.21M at exit**, reducing refinancing and disposition equity risk.

3. Operational & Underwriting Assumptions

- **In-Place Rent:** £12.50/sq. ft./year (£1.875M Gross Rental Income), reflecting prime logistics demand in West London.
- **Contractual Indexation:** 3.50% annual rental escalations, growing Gross Rent to £2.15M by Year 5 and £2.23M in Year 6.
- **Credit & Vacancy Allowance:** Underwritten at a conservative 3.00% of PGI throughout the hold.
- **Operational Costs:** Fully-Repairing & Insuring (FRI) lease baseline with 5.00% operational leakage/OpEx against EGI.
- **Capital Protection (CapEx):** Sinking fund of £0.25/sq. ft./year (£37,500/year fixed reserve) + £150,000 tenant refurbishment and renewal allowance budgeted in Year 4.
- **NOI Trajectory:** Grows from **£1.69M (Year 1)** to **£1.95M (Year 5)** and **£2.01M (Forward Year 6 Underwrite)**.

4. Valuation & Exit Mechanics

- **Hold Period:** 5 Years (Target Exit: Year 5 Year-End).
- **Exit Valuation Methodology:** Capitalization of forward 12-month Net Operating Income (Year 6 forward NOI of £2.01M) at a **5.00% terminal exit cap rate**.
- **Gross Disposition Price: £40.29M** (£268.61/sq. ft.).
- **Net Proceeds to Equity: £24.28M** after deducting 2.00% disposition brokerage costs (£805.8k) and settling the outstanding senior loan (£15.21M).

5. Risk, Downside Protection & Sensitivity Analysis

A dynamic 2-way sensitivity analysis was performed stress-testing Exit Cap Rates against Acquisition Pricing:

Exit Cap Rate \ Price	**£23.0M (-8.0%)**	**£24.0M (-4.0%)**	**£25.0M (Base)**	**£26.0M (+4.0%)**	**£27.0M (+8.0%)**
4.50% (-50 bps Yield)	31.8%	29.8%	**28.6%**	27.5%	26.6%
4.75% (-25 bps Yield)	29.7%	27.8%	**26.8%**	25.8%	24.9%
5.00% (Base Exit)	**27.9%**	**26.1%**	**25.3%**	**24.3%**	**23.5%**
5.25% (+25 bps Yield)	26.2%	24.6%	**23.8%**	22.9%	22.1%
5.50% (+50 bps Yield)	24.7%	23.2%	**22.5%**	21.6%	20.8%
6.00% (+100 bps Stress)	22.0%	20.7%	**20.0%**	19.3%	18.5%

Key Risk Mitigants:

1. **Severe Yield Expansion Buffer:** Even under a severe **+100 bps cap rate decompression to 6.00%**, the base case equity return yields **20.0% Levered IRR**, exceeding our minimum target threshold.
2. **Pricing Defense:** Even if required to bid up to £27.0M (+8%), the base exit still delivers **23.5% Levered IRR**.
3. **Flight-to-Quality Fundamentals:** Heathrow/M4 logistics submarket continues to face supply constraints for Grade A big-box stock, insulating in-place rental growth and tenant retention.